

BlackRock, Inc. (NYSE: BLK)*One Asset, Two Lenses*

W.H. Blackburn · April 2026

HOLDTarget **\$906**Price **\$1,085**to fair value **-16.5%****Thesis**

BlackRock is two companies wearing one ticker. As a **rate-sensitive asset manager** it is worth ~\$825; as a **platform compounder** — Aladdin's software economics plus private-market cash flows that don't track equities one-for-one — it is worth ~\$906. The evidence leans to the platform lens (in 2022, operating income fell ~13% against a ~19% market drop). But at \$1,085 the market is paying above even that optimistic read.

Variant perception

- **Consensus:** Buy, targets ~\$1,150–1,250; private-market cash flows treated as already durable; Aladdin earns a software multiple.
- **My view:** Directionally right on quality, but the market is pricing a durability the March 2026 private-credit redemption gate has not yet earned. I sit below the Street and below the price.
- **Reverse DCF:** At \$1,085 the price embeds ~11% iShares growth (vs. ~6.5%) and roughly 74% odds of the bull case over the base; the probability-weighted value (~\$880) sits below the price.

Catalysts (next 12–24 months)

- Q2 earnings (Jul 21): flow durability and private-credit redemption commentary.
- Quarterly Aladdin ACV — confirms or breaks the platform thesis; watch the sub-mid-teens line.
- Private-credit redemptions and the Fed path (rates biased up).

Key risks

- Equity drawdown on the AUM-linked book (~\$150/sh per 20% market decline).
- Private-credit stress / further gating — the live threat to the premium.
- Sustained higher rates compressing both the market and the multiple.

Recommendation

HOLD (trim bias). Skew is unfavorable at today's price (~+6% to the bull vs. ~-24% to the bear). Hold existing positions through volatility; **accumulate in the high-\$800s**, where the two lenses converge and the margin of safety reappears. Trim above ~\$1,000.

Academic exercise; not investment advice. Data as of April 2026. Full SOTP model and core narrative accompany this memo.